

Bank Reconciliation Procedure

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Purpose

This procedure ensures the operating cash account in Yardi Voyager agrees to the bank statement each month, so that cash is accurately stated and discrepancies are caught quickly.

Frequency

A bank reconciliation is completed for every operating and deposit account every month as part of the close. The reconciliation must be completed and signed off before the period is locked.

Procedure

Import or enter the bank statement closing balance. Match each cleared item in Voyager to the bank statement. Identify outstanding checks that have not yet cleared and deposits in transit. The reconciled book balance equals the bank balance less outstanding checks plus deposits in transit.

Reconciling Items

Investigate any item that appears on the bank statement but not in Voyager, such as bank fees or returned items, and record it. Investigate any book item that has not cleared after a reasonable period; a check outstanding for more than the stale-date period is voided and reissued if still owed.

Sign-Off

The preparer and a reviewer both sign off on the completed reconciliation. The reviewer confirms there are no unexplained reconciling items and that the adjusted balances agree.

Segregation of Duties

The person who prepares the bank reconciliation should not also have the ability to release payments without a second control, to reduce the risk of an undetected error or misappropriation.